

**THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS**

PMGM7038 Management of Corporate Sustainability

GENERAL INFORMATION

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Pre-requisites: []
Co-requisites: []
Mutually exclusive: []
Course Website: TBD
Reference Books:

Rasche, A., Morsing, M., Moon, J., & Kourula, A. (Eds.). (2023). *Corporate sustainability: Managing responsible business in a globalised world*. Cambridge University Press.

Samans, R., & Nelson, J. (2022). *Sustainable enterprise value creation: Implementing stakeholder capitalism through full ESG integration* (p. 289). Springer Nature.

The following programming languages are used in this course: None

COURSE DESCRIPTION

A series of global crises: COVID-19, climate change, and biodiversity loss, have exposed the fragility of the global economic system and highlighted stark social inequalities that exist both between and within countries. In response, governments and societies have increased their regulations and expectations surrounding environmental, social, and governance (ESG) practices in the business, to accelerate the shift from being part of the problem to being part of the solution. This transformation underscores the interdependence between sustainability, ESG risk management, and long-term value creation for companies.

This course is designed to prepare future business leaders for adeptly handling the dynamic ESG (Environmental, Social, and Governance) landscape that is evolving both in China and around the world. The main goal is to cultivate the ability to effectively evaluate and manage ESG-related risks and opportunities, while considering the broader implications for a range of stakeholders and the wider society. Although ESG originated within Western corporate frameworks, its relevance and application are rapidly expanding in countries like China. This course, while placing a significant focus on the unfolding ESG developments within China, will also provide a comprehensive view by exploring ESG adoption and trends in various global contexts.

Case-based teaching, at the core of the course, focuses on experiential learning. All teaching cases will center on ESG practices in greater China and other global contexts; each student is expected to spend around 3 hours preparing for each of the 8 cases to be taught in the course.

COURSE OBJECTIVES

Upon completion of this course, students will be able to:

- Explain and apply fundamental concepts and analytical tools related to ESG and corporate sustainability in various business contexts;
- Compare and critique the strategies and practices of leading companies in sustainable supply chain management, ESG ratings and investing, ESG disclosure, and sustainable marketing using relevant frameworks and criteria;
- Describe the science and public policy underlining climate change and design corporate strategies for mitigating and adapting to climate change based on best practices and case studies;
- Identify and assess the driving forces behind ESG adoption and expansion at the levels of individual firms, specific industries, and an industrializing country as a whole using appropriate theories and models;
- Evaluate and rate the ESG practices and reporting of a public listed company using established standards and indicators, and propose innovative and practical solutions for improvement based on the evaluation results.

PROGRAMME LEARNING OUTCOMES			
PLO1: Acquiring and internalizing accounting and business knowledge and skills			
PLO2: Applying and integrating accounting and business knowledge			
PLO3: Inculcating professionalism and leadership			
PLO4: Developing a global outlook			
PLO5: Mastering communication skills			
COURSE LEARNING OUTCOMES			
Course Learning Outcomes		Aligned Programme Learning Outcomes	
CLO1: Applying ESG concepts and tools to various business contexts		PLO1, PLO2, PLO4	
CLO2: Critiquing ESG strategies and practices of leading companies using frameworks and criteria		PLO2, PLO3, PLO5	
CLO3: Designing climate change strategies based on science, policy, and best practices		PLO1, PLO2, PLO4	
CLO4: Assessing ESG driving forces at different levels using theories and models		PLO1, PLO2, PLO3	
CLO5: Evaluating, rating, and proposing solutions for ESG practices and reporting of a public listed company		PLO2, PLO3, PLO4, PLO5	
COURSE TEACHING AND LEARNING ACTIVITIES			
Course Teaching and Learning Activities		Expected Hour	Study Load (% of study)
T&L1. Interactive lectures		30	23%
T&L2. Online forum discussions		10	7%
T&L3. Assignments & Tutorials		50	37%
T&L4. Lecture preparation & Self-study		45	33%
Total		135	100%
Assessment Methods	Brief Description (Optional)	Weight	Aligned Course Learning Outcomes
A1. In-class participation	Attendance & discussions	10%	CLO1, 2, 3, 4
A2. Individual case write-ups	Effort and accuracy	2 x 10%	CLO1, 2, 3, 4
A3. Group exercises	Effort and accuracy	4 x 5%	CLO1, 2, 3, 4, 5
A4. Group Presentation & Paper on AI/Big Data/Web 3.0 vs ESG	Effort, depth and accuracy	20%	CLO1, 2, 4, 5
A5. Group Project Oral Presentation	Effort, insight and accuracy	30%	CLO1, 2, 3, 4, 5
Total		100%	
STANDARDS FOR ASSESSMENT			

Assessment Rubrics for In-class Participation	
A+, A, A-	• High participation in discussions • Always attend in-class discussions • Demonstrate a strong understanding of all relevant knowledge • Handling questions professionally • Present arguments that have an element of originality • Respect others and follow the class rules (no chatting and do not use cell phone)
B+, B, B-	• Good participation in discussions • Often attend in-class discussions • Demonstrate a good understanding of all relevant knowledge • Handling questions in a logical way • Present arguments that go beyond the lecture and textbook • Respect others and follow the class rules (no chatting and do not use cell phone)
C+, C, C-	• Some participation in discussions • Sometimes attend in-class discussions • Demonstrate a basic understanding of the concepts involved • Fairly address questions as set • Present arguments in a well-structure manner • Respect others and follow the class rules (no chatting and do not use cell phone)
D+, D	• Minimal or no participation in discussions • Rarely attend in-class discussions • Demonstrate a minimum understanding of the concepts involved • Barely address questions as set • Present arguments in a marginally acceptable manner • Respect others and follow the class rules (no chatting and do not use cell phone)
F	• Minimal or no participation in discussions • Almost never attend in-class discussions • Demonstrate a poor understanding of the concepts involved • Unable or unwilling to handle questions • Present arguments poorly • Behave poorly in class (often chatting with others, using cell phones, or being late)
Assessment Rubrics for 2 Individual Case Write-ups Each student shall complete and submit around 1000-word case write-ups to summarize and analyze the critical discussion questions about two cases which will be self-selected from the seven cases to be taught between Session 1 and Session 9. The case write-ups should cover but not be limited to the related case discussion questions. Students must submit their case write-ups at least 24 hours before the discussion, i.e., by 9:30 a.m. on the preceding Saturday. Any late submission won't be graded and won't count toward your final grade. You may submit more than two case write-ups. In that case, you will be graded based on the two best outcomes.	
A+, A, A-	• Understanding: Clearly grasps all case details and discussion questions. • Insight: Provides deep and thoughtful analysis with strong arguments. • Clarity: The write-up is well-organized and easy to read. • Support: Uses solid evidence from the case and other sources. • Creativity: Presents unique viewpoints and insights.
B+, B, B-	• Understanding: Understands the case well but might miss some depth. • Insight: Good analysis with relevant points, but less thorough. • Clarity: Mostly clear and structured, with minor issues. • Support: Decent use of evidence, though somewhat limited. • Creativity: Some new ideas, but mostly sticks to expected conclusions.
C+, C, C-	• Understanding: Gets the basic points but with some errors or gaps. • Insight: Offers basic observations without much depth. • Clarity: Adequate organization, but parts may be unclear. • Support: Limited backing for points made, mostly from the case itself. • Creativity: Lacks original insights, focusing on obvious points.
D+, D	• Understanding: Misses key aspects of the case, showing major gaps. • Insight: Very little analysis or relevant commentary. • Clarity: Poorly organized, making it hard to follow. • Support: Assertions are often unsupported or incorrectly backed. • Creativity: Offers no new perspectives, failing to analyze effectively.

F	• Understanding: Fails to show even basic comprehension of the case. • Insight: No meaningful analysis or engagement with the material. • Clarity: Disorganized and fraught with errors, lacks coherence. • Support: No evidence or inappropriate use of information. • Creativity: Merely recounts the case without any analytical effort.
Assessment Rubrics for Group Research Paper and Presentation Students will work in teams of around 8 members to submit a group project paper one day before Session 6. The paper will be a five-page, single-spaced, Font 10 case study of applying AI, big data, and Web 3.0 to ESG. Each team will select one of the following topics: 1) AI and ESG: How AI can help measure, manage, and enhance ESG performance and impact, such as through data analytics, machine learning, natural language processing, computer vision, etc. What are the benefits and risks of AI for ESG, such as accuracy, efficiency, scalability, bias, privacy, accountability, etc. What are the ethical and regulatory issues and challenges of AI for ESG, such as fairness, transparency, explainability, trust, etc. 2) Big data and ESG: How big data can help measure, manage, and enhance ESG performance and impact, such as through data collection, integration, visualization, etc. What are the benefits and risks of big data for ESG, such as comprehensiveness, timeliness, granularity, quality, security, etc. What are the ethical and regulatory issues and challenges of big data for ESG, such as consent, ownership, access, governance, etc. 3) Web 3.0 and ESG: How Web 3.0 can help measure, manage, and enhance ESG performance and impact, such as through blockchain, smart contracts, decentralized applications, etc. What are the benefits and risks of Web 3.0 for ESG, such as trust, immutability, verifiability, participation, innovation, etc. What are the ethical and regulatory issues and challenges of Web 3.0 for ESG, such as scalability, interoperability, sustainability, inclusion, etc. Please take notice of how AI, big data, and Web 3.0 are being used or could be used in different ESG domains, such as environmental protection, social responsibility, and governance transparency and accountability. Guidance and criteria as to how to select, analyze, and present a relevant and interesting case are as follows: • Identify a specific ESG problem or opportunity that can be addressed or enhanced by AI, big data, or Web 3.0 • Describe the current situation and the desired outcome of the problem or opportunity • Explain how AI, big data, or Web 3.0 can help solve or improve the problem or opportunity, and what are the expected benefits and risks • Provide evidence and examples to support the analysis and recommendations • Use clear and concise language, visuals, and references Each group will prepare a 12-minute brief presentation with no more than 12 slides on their group research and receive feedback from the instructor on how to improve their group paper.	
A+, A, A-	• Problem Identification: Clearly identifies a significant ESG issue that technology can address. • Analysis: Deeply understands the current situation and what changes are desired. • Technology Application: Thoroughly explains how the technology can help, considering benefits and risks. • Supporting Evidence: Provides strong evidence and examples supporting their arguments. • Clarity and Presentation: Paper and slides are clear, well-organized, and engaging. Uses visuals effectively and cites references properly.
B+, B, B-	• Problem Identification: Identifies an ESG issue but may lack detail on the technology's role. • Analysis: Adequately describes the current and desired situations but needs more depth. • Technology Application: Clearly explains the technology's role but could delve deeper into benefits and risks. • Supporting Evidence: Uses relevant evidence and examples but could be more compelling. • Clarity and Presentation: Generally clear and organized but could improve in language, visuals, and citations.
C+, C, C-	• Problem Identification: Mentions an ESG issue but the connection to technology is weak. • Analysis: Basic description of the situation without much insight. • Technology Application: Outlines the technology's role but lacks depth in benefits and risks discussion. • Supporting Evidence: Provides some evidence and examples, but they're not very persuasive. • Clarity and Presentation: Understandable but suffers from language errors and unclear visuals. Needs better organization and citation.
D+, D	• Problem Identification: Unclear identification of the ESG issue or its relevance to the technology. • Analysis: Limited information on the current and desired situations with significant gaps. • Technology Application: Provides a vague explanation of the technology's role with no benefits or risks discussion.

	- Supporting Evidence: Lacks sufficient or relevant evidence and examples. - Clarity and Presentation: Poor organization, significant language errors, ineffective visuals, and lack of references.
F	- Problem Identification: Fails to identify a relevant ESG problem that the technology could solve. - Analysis: Little to no understanding of the current situation or desired outcome. - Technology Application: No coherent explanation of how the technology addresses the issue. - Supporting Evidence: Does not include relevant evidence or examples. - Clarity and Presentation: Disorganized, difficult to follow, with many errors and incorrect or absent citations.

Assessment Rubrics for Group Project Oral Presentation

Students will form around 8 member groups to prepare a second group project to be presented in class in Session 10. Each group will choose one company from the following list of potential options: Nio, XPeng Inc., Midea, Tianqi Lithium, TCL Technology, Ping An Group, Tongwei, Swire Property, Towngas, Ant Group, and others.

Each group shall prepare a PPT file (on average 15 slides). The main objective of the group project will substantially address the following six questions:

- 1) What is the company's purpose, missions and business model, and how does it align with its ESG strategy and practices?
- 2) How does the company amplify rather than deteriorate six types of capital (i.e., financial, manufactured, intellectual, human, social and relationship, and natural capitals) through its business operation?
- 3) What innovative business model does the company adopt to create long-term value by considering the needs of all the stakeholders?
- 4) How does the company contribute to realizing some of the 17 UN SDGs through its business operation?
- 5) How well does the company implement the ESG strategy and practices regarding governance, strategy, risk management, and targets and metrics?
- 6) What recommendations do you provide to improve the ESG management practices?

You may refer to the report titled The Sustainable Development Goals, Integrated Thinking, and the Integrated Report (Adams 2017) for more detailed guidance.

Each group will give a 15-minute oral presentation during session 10. A 10-minute Q&A session will follow each group presentation to offer feedback and stimulate mutual learning. The revised PPT files shall be submitted after the group presentations.

A+, A, A-	- Content: Thoroughly covers all questions with insightful analysis. - Innovation: Highlights creative business models and clear links to UN SDGs. - Recommendations: Provides actionable and thoughtful suggestions for ESG improvement. - Delivery: Engaging and clear presentation, excellent use of visuals, and professional demeanor. - Engagement: Effectively addresses questions with insightful responses during Q&A.
B+, B, B-	- Content: Adequately addresses most questions, with room for deeper analysis. - Innovation: Describes some innovative aspects and SDG contributions, but lacks depth. - Recommendations: Offers general ESG improvement suggestions. - Delivery: Good presentation with clear communication and relevant visuals. - Engagement: Participates in Q&A with decent responses, but could be more engaging.
C+, C, C-	- Content: Covers the questions but lacks detail and insight. - Innovation: Mentions innovation and SDGs but connections are superficial. - Recommendations: Provides basic ESG improvement ideas with limited impact. - Delivery: Satisfactory presentation but may lack clarity or engagement. - Engagement: Responds to Q&A but lacks depth and clarity in answers.
D+, D	- Content: Limited coverage of questions with significant gaps. - Innovation: Fails to effectively discuss innovation or SDG contributions. - Recommendations: Offers few or vague ESG improvement suggestions. - Delivery: Poor presentation skills, unclear communication, and ineffective visuals. - Engagement: Struggles in Q&A, providing unclear or irrelevant responses.
F	- Content: Does not adequately address the questions, showing a lack of understanding. - Innovation: Lacks any meaningful discussion of innovative business models or SDGs. - Recommendations: Provides no useful suggestions for ESG improvements. - Delivery: Very poor presentation, lack of professionalism, and inappropriate visuals.

- Engagement: Unable to effectively engage in Q&A, providing incorrect or irrelevant information.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

Session 1 Origin, Trends of ESG and Corporate Sustainability Worldwide and in China (Sunday, 31 August 2025)

- Origin, drivers, and trends of ESG globally and in China
- Evolution of sustainable development globally and in China
- United Nations Sustainable Development Goals (SDGs) and Business

Case 1: Moustakerski, Laura. "Publishing Pollution Data in China: Ma Jun and the Institute of Public and Environmental Affairs." Case Consortium @ Columbia University, July 2014.

https://ccnmtl.columbia.edu/projects/caseconsortium/casestudies/135/casestudy/www/layout/case_id_135.html

Case discussion questions

- 1) If you were Ma Jun in 2005 and committed to environmental change, what approaches you might choose and how could you be most effective?
- 2) What were the main challenges and risks facing Ma Jun in the design and operationalization of the IPE?
- 3) How was China's environmental governmental setup been evolving? What were the characteristics?
- 4) What is the relationship between the IPE and the Chinese government (particularly the environmental protection authority)?
- 5) What strategies and institutional design did Ma Jun choose for the IPE in order to overcome the main challenges confronting a nascent NGO such as the IPE?
- 6) Is the IPE justified in developing a database of polluting companies and disclosing negative information about companies?
- 7) How did the IPE challenge Apple effectively?

Session 2 Integrating ESG into Corporate Strategy (Sunday, 31 August 2025)

- Corporate purpose, vision and missions
- Stakeholder assessment and engagement
- ESG materiality assessment
- ESG risk management
- KPIs and goal-setting
- Integration of ESG into Chinese companies

Case 2: Shuobing Chen; Yulin Fang; Ning Su. "Shein: Ultra-Fast Fashion's ESG Challenges." Ivey Publishing, Feb 2024.

Case discussion questions

- 1) Examine the ESG challenges within the fast fashion industry by delving into the environmental, Social, and Governance aspects separately. Beyond the general industry-wide concerns, what were the specific ESG challenges faced by Shein?
- 2) Describe the collective efforts made by the entire fast-fashion industry to tackle ESG challenges.
- 3) Explore the measures taken by Shein to address its specific ESG challenges using the three-dimensional ESG framework. Additionally, assess how Shein dealt with the issue of backlash.
- 4) Given Shein's ESG challenges, propose a minimum of three strategies for how Shein can further prepare for a potential IPO. Consider how Shein can leverage its competitive edge in digitalization to advance its transformation into a sustainable fast-fashion brand.

Session 3 Addressing Climate Change and Transitioning towards Net Zero (Sunday, 7 September 2025)

- Climate Change and Paris Agreement
- China 2030-2060 Climate Pledge
- Organizational and product carbon footprints
- Corporate transition to net-zero

Case 3: Liang, Hao, Hannah H. Chang, Ryan Merrill, Lan Yang, and Adina Wong. "Growing a Global Forest: Ant Financial, Alipay, and the Ant Forest." Singapore Management University, May 2019

Case discussion questions

- 1) What were Ant Financial's objectives in starting Ant Forest?
- 2) How might Ant Forest, as a CSR initiative, increase the popularity of the Alipay app? How does that contribute to the performance of Ant Financial?
- 3) Is Ant Forest well-placed for its market leadership to endure? How will its competitors react to the Ant Forest app?
- 4) How does Ant Forest contribute to helping Ant Financial /Alipay create a competitive advantage by attracting users? Is any competitive advantage that Ant Financial has created through Ant Forest sustainable?

- 5) How does Ant Forest use innovation as an enabler of long-term growth?
- 6) What should be Ant Forest's strategy for growth and expansion of its user base going forward? Should it involve going overseas? What would it have to do to achieve this?

Session 4 ESG Governance and Risk Management (Sunday, 7 September 2025)

- Frameworks and Models in ESG Governance
- Introduction to ESG Risk Management
- ESG Risk Identification and Assessment
- Strategies for ESG Risk Mitigation and Reporting

Case 4: Smith, N. Craig, Erin McCormick. "Volkswagen's Emissions Scandal: How Could It Happen?" INSEAD, 2018.

Case discussion questions

- 1) Why was Volkswagen promoting "clean diesel" in the US?
- 2) Why did Volkswagen engineers program vehicle software to cheat emissions tests?
- 3) Do you think top managers knew about the Volkswagen cheat device? Why or why not?
- 4) What was the management style at Volkswagen? How might this have contributed to the emissions scandal?
- 5) What role does Volkswagen's goal of becoming the world's biggest auto company play in this scandal? Are there ways companies can set such goals without pushing employees to cheat?
- 6) What do you think Volkswagen will do now? What would you advise VW to do?
- 7) What are the long-term implications of these issues for Volkswagen's future as a company and for the automotive industry in general? What can be learned?

Session 5 ESG Measurement and Reporting (Saturday, 20 September 2025)

- Mainstream ESG Disclosure Frameworks (GRI, SASB, CDP, TCFD, ISSB)
- ESG performance evaluation
- Development and evaluation of Sustainability Disclosure for Chinese companies

Case: Ho, Mary Ching-ching, and Joseph Santana Fernandez. "SOGO Department Store, Hong Kong: Integrating Environmental Sustainability into a Retail Store's Operations." The Hong Kong University of Science and Technology Business School, October 2018.

Case discussion questions

- 1) What roles did HKEx play at the beginning of SOGO's ESG journey?
- 2) What are the strengths and weaknesses of Lifestyle International's ESG report as found in their 2020 Annual ESG Report? What changes do you detect among the last three ESG reports of Lifestyle International?
- 3) What are some of the factors that determine to what extent a retailer can impose sustainability standards on a brand-name vendor?
- 4) What influence do consumers have on sustainability standards in the retail sector?
- 5) How can stakeholder theory be applied to explain the shift and development of managing corporate sustainability?

Session 6 First Group Presentations: Case Study on Applying AI/Big Data/ Web 3.0 to ESG (Saturday, 20 September 2025)

Students will make group presentations on the case studies of how AI, big data, and Web 3.0 are being used or could be used in different ESG domains, such as environmental protection, social responsibility, and governance transparency and accountability. It should highlight the benefits and risks of these technologies, as well as the ethical and regulatory implications.

Session 7 Sustainable Supply Chain (Sunday, 28 September 2025)

- Evolving legal frameworks of ESG due diligence
- Main types of green supply chain management initiatives
- Leverage the green supply chain for small and medium-sized enterprises

Case 5: Gurusurthi, Suri, and Ronald Lau. "Esquel Group: Value Innovation Through Sustainable Supply Chains." The Hong Kong University of Science and Technology Business School, Feb. 2019

Case discussion questions

- 1) How could Esquel achieve its ambitious sustainability-, people-, and community-oriented objectives in a highly competitive industry when most of its competitors were using a low-cost production strategy?
- 2) How should Esquel prepare itself for the risks of this Integral project? What kind of hurdles could it face as it engages more deeply in this venture and effort?
- 3) Would the Integral project yield financial returns? Discuss the potential scenarios both in the short run through tangible and the intangible benefits of this sustainable development project, as well as long-run tangible and/or intangible benefits.

- 4) How should Esquel plan for the changing labor force and cost pressures in China? What are the alternatives in this regard, and what opportunities does the Integral project present to Esquel as it reacts to and manages these labor trends in China? In particular, how could it use the Integral project as an experiment to explore the future opportunities and challenges of operating out of China?
- 5) How could it involve customers, partners, governments, and business leaders in the Integral project?
- 6) What role does the company structure, for example, public vs. private, outsourced vs. integrated, play in major investment decisions such as in sustainable operations?

Session 8 ESG Rating and Investing (Sunday, 28 September 2025)

- Mainstream ESG rating schemes (MSCI, Sustainalytics, S&P)
- ESG Investing
- Engagement and stewardship

Case 6: Benz, Entela, and Ellen Orr. "CLP Group: Environmental, Social and Governance Factors and Their Effects on Valuation (A) and (B)." The Hong Kong University of Science and Technology Business School, May 2018.

Case discussion questions

- 1) What are the possible ways to project ESG KPIs into financial drivers?
- 2) Are ESG factors reflected in the base case valuation?
- 3) How should analysts integrate ESG into share valuation models?
- 4) What would be your recommendation on CLP's shares if you were an equity analyst?
- 5) What are the shortfalls of ESG valuation?

Session 9 Sustainable Business Model Innovation (Sunday, 12 October 2025)

- Six capitals of value creation for sustainability
- SDGs and business model innovation
- Net-Zero transition and business model innovation

Case 7: Bhattacharya, Shantanu, and Lipika Bhattacharya. "NIO: Battling Tesla with Battery as a Service." Singapore Management University Case, December 2021.

Case discussion questions

- 1) Why did NIO implement BaaS?
- 2) What are the key features of the NIO BaaS offering? What are its advantages?
- 3) How can BaaS promote a circular economy? Why is the automotive industry so concerned about sustainability and circularity?
- 4) Compare NIO and Tesla's strategies in combating the twin challenges of Li-battery changing time and range anxiety to accelerate the diffusion of EVs. Which strategy do you think will fare better in the long run? Why?

Session 10 Second Group Presentations and Course Wrap-up (Sunday, 12 October 2025)

No new case will be taught. The course will be wrapped up after the second group presentations. The PPT file for the group presentation should be submitted one day before the second group presentations.

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS (e.g. journals, textbooks, website addresses etc.)

Session 1 Origin, Trends, and Theoretical Foundations of ESG

Friedman M. (1970). The Social Responsibility of Business Is to Increase Its Profits. In: Zimmerli W.C., Holzinger M., Richter K. (eds) 2007. [Corporate Ethics and Corporate Governance](#). Springer, Berlin, Heidelberg.

Chakravorti B. What businesses need to know about sustainable development goals. Harvard Business Review. Available at: <https://hbr.org/2015/11/what-businesses-need-to-know-about-sustainable-development-goals>, 2015.

Elkington, J., 2013. [Enter the triple bottom line](#). In *The triple bottom line* (pp. 1-16). Routledge.

Porter, Michael E., and Mark R. Kramer. "[Creating shared value: Redefining capitalism and the role of the corporation in society](#)." Harvard Business Review 89.1/2 (2011): 62-77.

Session 2 Integrating ESG into Corporate Strategy

Deephouse, D. *To be different or to be the same? It's a question (and theory) of strategic balance*. Strategic Management Journal, 20(2), 147-166, 1999

Farri, Elisa, Paolo Cervini, and Gabriele Rosani. *The 8 Responsibilities of Chief Sustainability Officers*. Harvard Business Review, March 2023.

Freiberg, David, Jean Rogers, and George Serafeim. "[How ESG issues become financially material to corporations and their investors](#)." Harvard Business School Accounting & Management Unit Working Paper 20-056 (2020).

KPMG China, CLP Holdings Limited, and the Hong Kong Institute of Chartered Secretariat. [Integrating ESG into your business](#), January 2020.

Session 3 Addressing Climate Change and Transitioning towards Net Zero

Lowitt, Eric. "How to Survive Climate Change and Still Run a Thriving Business." Harvard business review 92.4 (2014): 86-92.

Toffel, Michael W., and Stephanie van Sice. "Carbon Footprints: Methods and Calculations." Harvard Business School Background Note 611-075, June 2011. (Revised December 2013.)

Glynn, Simon, and Cooper, Simon. "To Transition to Net Zero, Model the Alternative." MIT Sloan Management Review; Cambridge Vol. 63, Iss. 2, (Winter 2022): 1-3.

Schmedders, K. (2023). The chickens are coming home to roost: Companies admit their climate promises were unrealistic. IbyIMD. <https://www.imd.org/ibyimd/sustainability/the-chickens-are-coming-home-to-roost-companies-admit-their-climate-promises-were-unrealistic/>.

Session 4 ESG Governance and Risk Management

Sassen, R., Hinze, A.K. and Hardeck, I., 2016. Impact of ESG factors on firm risk in Europe. Journal of business economics, 86, 867-904.

Antoncic, M., 2019. Why sustainability? Because risk evolves and risk management should too. Journal of Risk Management in Financial Institutions, 12(3), 206-216.

Kotsantonis, Sakis, Chris Pinney, and George Serafeim. "ESG integration in investment management: Myths and realities." Journal of Applied Corporate Finance 28.2 (2016): 10-16.

Session 5 ESG Measurement and Reporting

Barker, Richard, Robert G. Eccles, and George Serafeim. "*The future of ESG is... accounting*." Harvard Business Review (2020).

Serafeim, George, and Jody Grewal. "*ESG Metrics: Reshaping Capitalism?*" Harvard Business School Background Note 116-037, March 2016.

World Economic Forum and PwC China. [A Leapfrog Moment for China in ESG Reporting](#). March 2021.

Session 6 Applying AI/Big Data/ Web 3.0 to ESG

How AI is helping China fight air pollution (<https://techmonitor.ai/leadership/sustainability/what-is-digital-sustainability-how-can-it-support-esg-goals>)

How big data is helping Starbucks achieve its sustainability goals (<https://www2.deloitte.com/us/en/insights/topics/digital-transformation/web-3-0-technologies-in-business.html>)

How Web 3.0 is helping UNICEF empower children and communities (<https://www.thebusinessanecdote.com/post/the-importance-of-web-3-0-the-age-of-artificial-intelligence-big-data-and-blockchain-is-here>)

Session 7 Sustainable Supply Chain

Villena, Veronica H., and Dennis A. Gioia. "A More Sustainable Supply Chain". Harvard Business Review, March 2020.

Plambeck, Erica L. "Reducing greenhouse gas emissions through operations and supply chain management." Energy Economics, 34 (2012): S64-S74.

Schuchard, Ryan, and Daniel Gross, BSR. [Five Lessons From Walmart's Supply Chain Work in China](#), April 2010

Session 8 ESG Rating and Investing

Ferraro, Fabrizio, and Richa Pathak. "The Responsible Investing Landscape: From SRI through ESG to IMPACT." Harvard Business School Background Note IES841, March 2021.

MacMahon, Simon. "The Challenge of Rating ESG Performance." Harvard Business School Spotlight Article, September 2020.

Kotsantonis, Sakis, Chris Pinney, and George Serafeim. "ESG integration in investment management: Myths and realities." Journal of Applied Corporate Finance 28.2 (2016): 10-16.

Session 9 Sustainable Business Model Innovation

Raventos, Mireia Torello, and Mike Rosenberg. "Business and Sustainable Development Goals." Harvard Business School Background Note, IES 637, April 2017.

Frishammar, Johan, and Parida, Vinit. "The Four Fatal Mistakes Holding Back Circular Business Models." MIT Sloan Management Review; Cambridge Vol. 62, Iss. 3, (Spring 2021): 68-72.

Adams, Carol A. [The Sustainable Development Goals, Integrated Thinking, and the Integrated Report \(Summary Report\)](#), 2017.

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- ☐ Online response via Moodle site
- ☐ Others: SFTL (please specify)

COURSE POLICY (e.g. plagiarism, academic honesty, attendance, etc.)

An orderly learning environment is extremely important for this course. Disruptive behaviors are absolutely unacceptable. Academic dishonesty includes cheating, plagiarism, unauthorized collaboration, falsifying academic records, and any act designed to avoid participating honestly in the learning process. Any such dishonesty will result in an F grade.

Attendance Requirements

An attendance rate of 70% is required for all MGM courses. Failure to meet the 70% attendance requirement will result in a fail grade in the course concerned, i.e., students can only miss at most three out of ten class sessions. Attendance will not be counted if they are late to class for 30 minutes or more, or leave class before the end of the lecture in a particular lecture. Attendance is counted from the first lecture, including the add/drop period, no matter when they officially enroll in the course. Failure to meet the 70% attendance requirement will result in a fail grade in the course concerned

ADDITIONAL COURSE INFORMATION (e.g. e-learning platforms & materials, penalty for late assignments, etc.)

Assignments will be submitted in class before the lectures. No late assignment will be accepted.
Lecture notes and self-learning materials will be uploaded on Moodle.
Good questions and discussions on Moodle will be awarded participation grades.